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LTA NEWS · 3 min read

New COE proposal: one COE for all cars, with rebates and surcharges

Reviewed by The Right Workshop team · Updated 8 Oct 2026

COE Regulation



1 COE

for all cars, if Cat A and Cat B are merged

\$15,000

the biggest rebate or surcharge, based on how expensive the car is

2 Nov 2026

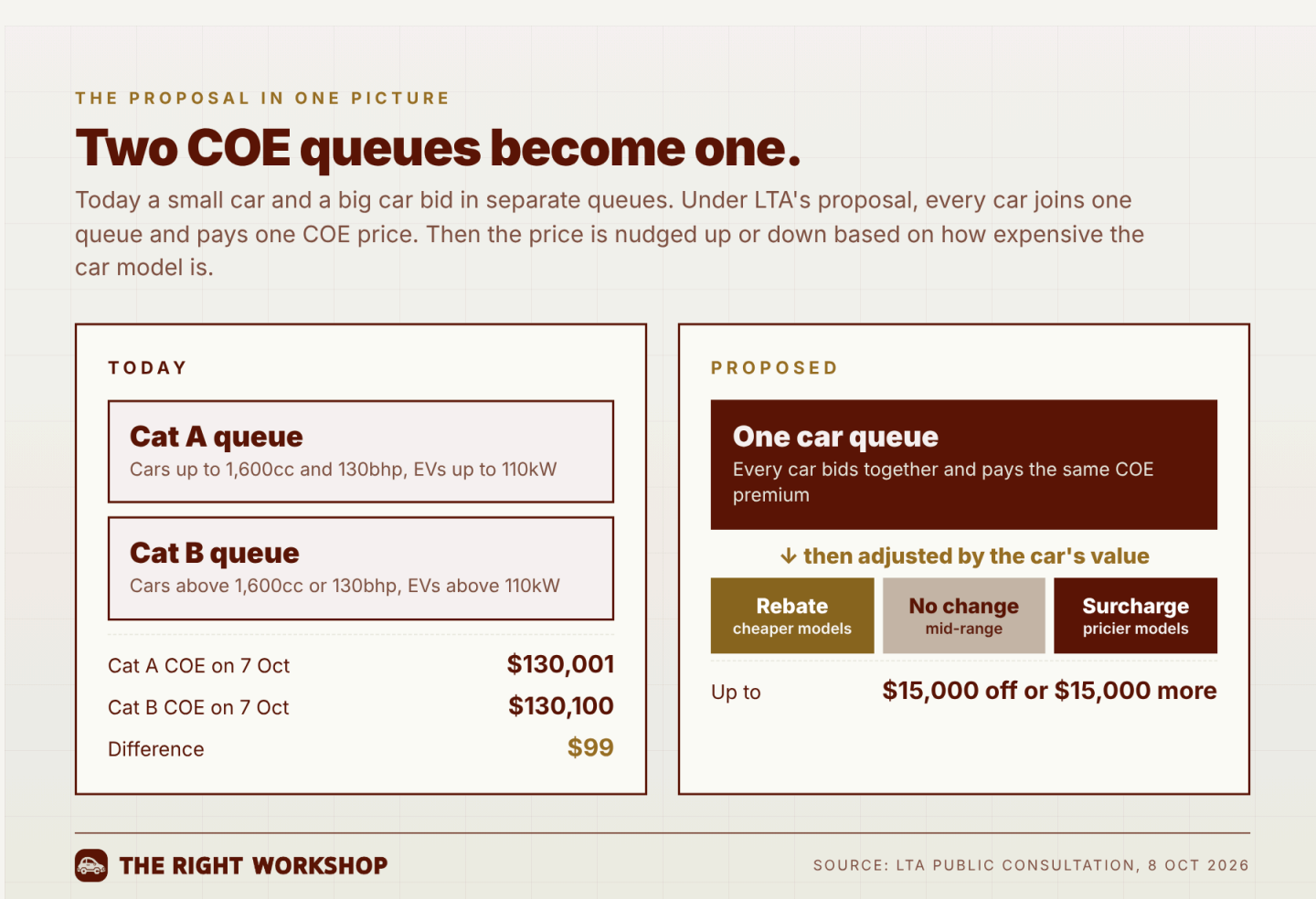
the last day to give LTA your feedback

LTA today proposed a new COE system for cars. Cat A and Cat B would merge into one category, and buyers would then get money off or pay extra depending on how expensive their car is. It is only a proposal for now, and LTA wants public feedback by 2 November 2026.

What LTA proposed today

Small cars and big cars would bid together and pay the same COE price. After that, the price is adjusted by the value of the car.

YOUR CAR	WHAT HAPPENS TO YOUR COE PRICE
Cheaper model	Rebate of up to \$15,000
Mid-range model	No change
Pricier model	Surcharge of up to \$15,000

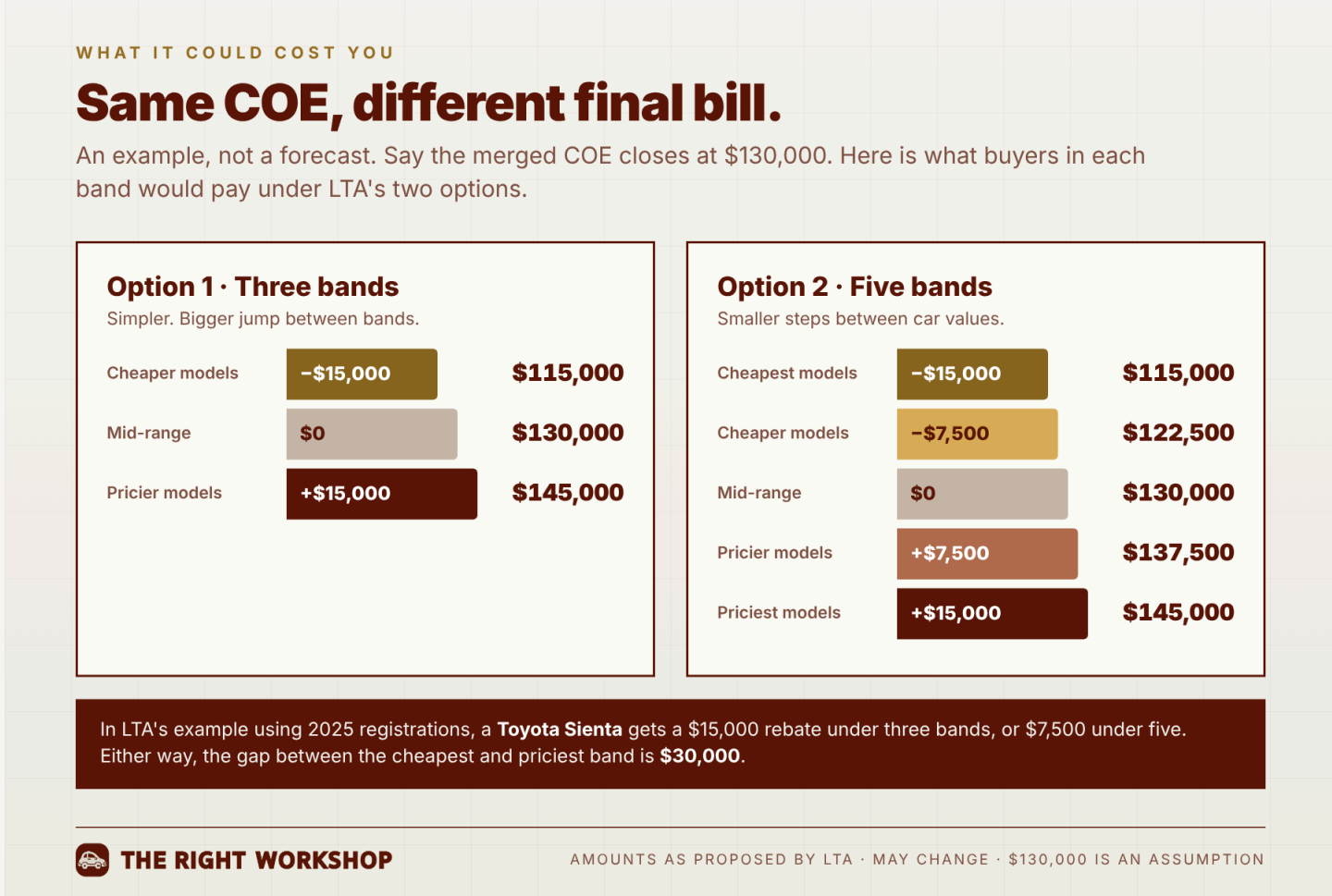


How the rebate and surcharge would work

LTA would rank every car model by its value (its open market value, or OMV) and sort them into bands. Your band decides what you pay on top of, or off, the COE price. LTA is choosing between two options:

OPTION	BANDS
Three bands	\$15,000 off · no change · \$15,000 extra
Five bands	\$15,000 off · \$7,500 off · no change · \$7,500 extra · \$15,000 extra

LTA's own example: the Toyota Sienta. It would get \$15,000 off under three bands, or \$7,500 off under five. The bands would be updated every year, so a model can move between them.



Why LTA wants to change the COE

Cat A was meant to keep COEs cheaper for smaller, mass-market cars. That has stopped working. At yesterday's bidding on 7 October, Cat A closed at \$130,001 and Cat B at \$130,100.

Only \$99 separated a small-car COE from a big-car COE.

Linking the COE to the car's price is LTA's way of making pricier cars pay more again.

What is not decided yet

- Three bands or five.
- Whether Cat E (Open) is removed or kept for cars only.
- Whether the rebate and surcharge also apply when you renew your COE.
- When any of this starts. LTA will share its decision in the first half of 2027.



What the new COE proposal means for you

Buying a car soon: nothing changes yet. COE bidding runs on today's Cat A and Cat B rules until LTA says otherwise. See the latest prices on our [COE results page](#).

Renewing your COE soon: today's rules apply. LTA has said it could consider transitional arrangements for current owners. Our [COE renewal vs scrap guide](#) helps you decide.

HAVE YOUR SAY
Give feedback at go.gov.sg/coe-pcd-feedback before 2 November 2026, 11.59pm.

If the car's value starts to decide your COE bill, it pays to know exactly what you are buying. Our [pre-purchase inspection](#) checks any new or used car before you commit.

We'll track every update on our [news feed](#), and you can also check the [OneMotoring portal](#) for official notices.

Source: This piece summarises and contextualises LTA's public consultation on the COE system, released 8 October 2026. Give feedback at go.gov.sg/coe-pcd-feedback.

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